

# Linking the 3 Financial Statements - WDFC EXERCISE

## Balance Sheet

|                                 | 08/31/13       | 08/31/14       |
|---------------------------------|----------------|----------------|
| <b>ASSETS</b>                   |                |                |
| Cash and equivalents            | 53,434         | 57,803         |
| Short-term investments          | 37,516         | 45,050         |
| Accounts Receivable             | 56,878         | 63,618         |
| Inventories                     | 32,433         | 34,989         |
| Current Deferred Taxes, net     | 5,672          | 5,855          |
| Other Current Assets            | 6,210          | 8,339          |
| <b>Total Current Assets</b>     | <b>192,143</b> | <b>215,654</b> |
| PP&E                            | 8,535          | 9,702          |
| Goodwill & Intangibles          | 119,528        | 119,170        |
| Other Long Term Assets          | 2,858          | 3,154          |
| <b>Total Assets</b>             | <b>323,064</b> | <b>347,680</b> |
| <b>LIABILITIES</b>              |                |                |
| Accounts payable                | 19,693         | 18,031         |
| Accrued Liabilities             | 16,562         | 18,382         |
| Revolver                        | 63,000         | 98,000         |
| Accrued Payroll & Related       | 17,244         | 15,969         |
| Income Taxes Payable            | 1,146          | 1,529          |
| <b>Current Liabilities</b>      | <b>117,645</b> | <b>151,911</b> |
| LT Deferred Taxes, net          | 24,011         | 24,253         |
| Other LT Liabilities            | 1,901          | 2,101          |
| <b>Total Liabilities</b>        | <b>143,557</b> | <b>178,265</b> |
| <b>Shareholder's equity</b>     |                |                |
| Common Stock par value          | 19             | 19             |
| Additional paid-in-capital      | 133,239        | 136,212        |
| Accumulated Other Comp          | (5,043)        | 1,103          |
| Treasury Stock                  | (162,742)      | (205,515)      |
| Retained Earnings               | 214,034        | 237,596        |
| <b>Total liabilities and SE</b> | <b>323,064</b> | <b>347,680</b> |
| <i>Check</i>                    | <i>0</i>       | <i>0</i>       |

|                    |         |       |
|--------------------|---------|-------|
| PP&E (BOP)         | 8,535   |       |
| Less: Depreciation | (3,243) |       |
| Plus: Capx         | 4,410   |       |
| PPE (EOP)          | 9,702   | 9,702 |

|                          |         |         |
|--------------------------|---------|---------|
| Intangibles and GW (BOP) | 119,528 |         |
| Amortization             | (2,617) |         |
| New purchases            | 2,259   |         |
| Intangibles and GW (EOP) | 119,170 | 119,170 |

## Income Statement

|                                    | 8/31/13-8/31/14 |
|------------------------------------|-----------------|
| Net Revenues                       | 382,997         |
| Cost of Goods Sold (net of Depr)   | 180,901         |
| Selling, general, & Administrative | 108,577         |
| Advertising & Promotion            | 23,922          |
| Depreciation                       | 3,243           |
| Amortization                       | 2,617           |
| Net Interest expense               | 406             |
| Other operating expenses           | 372             |
| Pretax income                      | 62,959          |
| Income tax expense                 | 19,213          |
| <b>Net income</b>                  | <b>43,746</b>   |
| Dividends <sup>1</sup>             | 20,184          |

<sup>1</sup> All dividends were cash dividends

|                              |              |
|------------------------------|--------------|
| Change in PP&E               | 1,167        |
| Capital expenditures         | (4,410)      |
| Depreciation                 | 3,243        |
| <b>Change in PP&amp;E</b>    | <b>1,167</b> |
| Change in Intangibles        | (358)        |
| New Purchases of Intangibles | (2,259)      |
| Amortization                 | 2,617        |
| <b>Change in Intangibles</b> | <b>(358)</b> |

## Cash Flow Statement

|                                        | 8/31/13-8/31/14 |
|----------------------------------------|-----------------|
| Net Income                             | 43,746          |
| Depreciation and amortization          | 5,860           |
| Changes in working capital             |                 |
| Accounts Receivable                    | (6,740)         |
| Inventories                            | (2,556)         |
| Current Deferred Taxes, net            | (183)           |
| Other Current Assets                   | (2,129)         |
| Accounts payable                       | (1,662)         |
| Accrued Liabilities                    | 1,820           |
| Accrued Payroll & Related              | (1,275)         |
| Income Taxes Payable                   | 383             |
| <b>Cash from operations</b>            | <b>37,264</b>   |
| Capital expenditures                   | (4,410)         |
| New Purchases of GW & Intangibles      | (2,259)         |
| Changes in all other long-term assets  | (296)           |
| Changes in LT Deferred Taxes, net      | 242             |
| Changes in Other LT Liabilities        | 200             |
| <b>Cash from investing</b>             | <b>(6,523)</b>  |
| Increase in Short-term investments     | (7,534)         |
| Increase in Revolver                   | 35,000          |
| Increase in common stock               | 0               |
| Increase in APIC                       | 2,973           |
| Increase in Accumulated Other Comp     | 6,146           |
| Increase in Treasury stock             | (42,773)        |
| Dividends                              | (20,184)        |
| <b>Cash from financing</b>             | <b>(26,372)</b> |
| <b>Beginning cash balance (8/2013)</b> | <b>53,434</b>   |
| <b>Total change in cash</b>            | <b>4,369</b>    |
| <b>Ending cash balance (8/2014)</b>    | <b>57,803</b>   |